The Rule of 72

The rule of 72 is a nifty mathematical computation you can use to estimate how long it will take a certain sum of money to double at a certain interest rate (assuming the interest is compounded annually), or to determine how long it will take a debt to double.

The Calculation Is Simple

To calculate how quickly your investment will double, divide 72 by the interest rate or expected rate of return. The result is the number of years it will take your money to double at that interest rate, assuming you reinvest your earnings. So if your money is invested at 8 percent interest, you make the following quick calculation: 72 ÷ 8 = 9. This means it will take approximately nine years.

You can also use the rule of 72 to estimate what rate of return you'd need to earn in order for your money to double in a certain number of years, for example, ten years: 72 ÷ 10 = 7.2, so you'd need to earn 7.2 percent annually for your money to double in ten years.

How Many Times Will Your Money Double?

The power of the rule of 72 doesn't stop there. It illustrates how important differences in interest rates are, because the lower the interest rate, the longer it takes to double your money, and the real key to growing your money is to double it as many times as possible. Look at this example of $100 doubling eight times:

$100
$200
$400
$800
$1,600
$3,200